Toll Tax & Road Tax



Toll tax is a tax you often pay to use any form of infrastructure developed by the government, example roads and bridges. The tax amount levied is rather negligible which is used for maintenance and basic upkeep of a particular project.

Swachh Bharat Cess

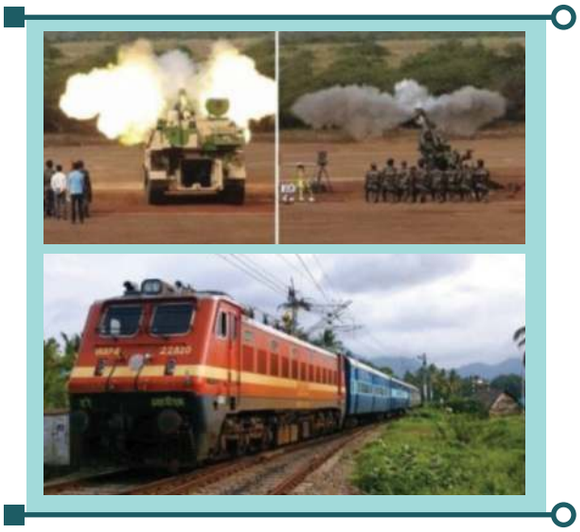


This is a cess imposed by the government of India and was started from 15 November 2015. This tax is applicable on all taxable services and the cess currently stands at 0.5%. Swachh Bharat cess is levied over and above the 14% service tax that is prevalent in the present times.

Distinction between Direct and Indirect tax

Direct Tax	Indirect Tax
Burden cannot be shifted by taxpayers	Easily be shifted to another person
Tax is imposed on personal income and corporate income	Taxes imposed on various goods and services
Direct tax has no inflation pressure	This tax has inflation pressure
The impact and incidence are the same in case of direct tax	The impact and incidence are different in case of indirect tax
Direct tax is less elastic	Indirect tax is more elastic

Need for Tax and Peoples Welfare



The levying of taxes aims to raise revenue to fund governing. It helps alter prices in order to balance the affect of demand. States and their functional equivalents throughout history have used money provided by taxation to carry out many functions.

Some of these include expenditures on economic infrastructure like, transportation, sanitation, public safety, education, health-care systems, military, scientific research, culture and the arts, public works, public insurance, etc. A government's ability to raise taxes is called its fiscal capacity.

7th Std - Social Science Term III Economics Uni 1 EM.indd 215 26-09-2023 18:47:02